FRAUD READINESS · COMPREHENSIVE

Fraud Readiness Strategy and Control Blueprint

Fictional Retail Group (mixed controls)

Assessment reference FX-P3

12 November 2026

Confidential. Prepared for the management of Fictional Retail Group (mixed controls).

Fictional prototype for MK review. The organisation is fictional, calculated figures are labelled test results, and this is not a customer report or a certified paid report.

EXECUTIVE DIAGNOSIS

The group has a working fraud framework at the centre, and the task now is to build controls into the operations it governs

On its own answers, the group has the core controls in place for 48 of the 106 fraud scenarios that apply to it, and a core control reported as a gap in 58. Those figures conceal a sharper pattern. In fraud governance, fraud risk assessment, finance and banking, and detection and response, every core control is reported in place. In third parties, people and payroll, customers, assets and stock, and digital channels, almost every core control is reported as a gap.

MK's reading is that the group has built a fraud programme from the centre outward and has not yet carried it into the operations. Ownership of fraud risk is written into an executive's role, the risks are assessed, the finance and banking controls are described as working, and there are channels to report and investigate concerns. These are the parts of a programme that tell an organisation what its exposure is and how it will respond. The parts that prevent and detect fraud inside the processes, where suppliers are paid, staff are paid, customers receive credit and refunds, stock is held and instructions arrive, are largely absent.

This is a position with real strengths and a clear direction. The group does not need to rebuild its governance; it needs to give its operating executives ownership of the controls in their processes and to apply, in each of them, the same discipline the centre already applies. The scale of the open register, 59 scenarios, should not obscure that much of it rests on a small number of shared requirements.

Three themes carry the diagnosis. The first is the gap between the framework and the operations. The second is a single weakness that recurs across four areas: changes to bank details, customer details and identity are accepted on the strength of the request itself, through contact details the requester supplied, a familiar voice or a document that looks right. The third is that no independent review examines procurement or payroll, the processes through which money leaves the organisation in volume and on a routine cycle.

The themes interact in a way that matters for the response. The verification weakness gives an outsider the opportunity to divert a payment or obtain credit; the absence of independent review means that nothing looking across the payments would notice; and because the controls sit in processes the centre does not run, the risk function's assessment can identify the exposure without being able to close it. A loss in these areas is therefore more likely to be found by a supplier, a customer or a whistle-blower than by a control designed to find it.

The exposure is concrete. A supplier's bank details can be changed by an impostor and confirmed through the impostor's own number. A senior review of supplier payments has been agreed but does not run, so split orders and duplicate invoices pass unseen. Credit is granted on documents checked only when something looks wrong, stock is counted by the people who hold it, and payroll is reviewed only at the level of totals.

Leadership's priorities follow. In the first thirty days, the chief executive should name an accountable executive for each operating area and decide the order of work on explicit factors, designing the verification requirement once for every area it affects. Over the following two months, the priority controls should be designed and put to work: confirmation of supplier bank changes through details on file, a call-back rule that holds whatever a caller appears to be, the monthly senior review of supplier payments, verification of credit applications with their source, and verification of customer detail changes away from sales. By twelve months, each should have met its success measure over a full cycle, procurement and payroll should have been examined independently, and the board should be receiving a status report on every open area.

Every question in the assessment was answered and no pair of answers conflicts, so the position is not limited by missing or inconsistent information.

WHAT THE ASSESSMENT ESTABLISHES

CALCULATED TEST RESULT

55.5 of 100 TEST FIXTURE

The arithmetic result of the answers under the method's scoring frame, shown for traceability. It carries no band.

UNRESOLVED INCONSISTENCIES

None found

None found in the 1 pair of answers compared. Most related practices were not asked, so this is not a finding that every answer is consistent.

PROVISIONAL MANAGEMENT INTERPRETATION

58 with a control reported as a gap

On its own answers, the organisation reports the controls that stop the scenario in place for 48 of the 106 fraud scenarios that apply, and a control reported as a gap in 58. This reads the organisation's own answers.

APPROVED READINESS CONCLUSION

None issued

MK states its readiness conclusion here under its approved readiness method. Until then the report sets out what the answers establish.

The four statements are kept separate: the calculated result is arithmetic, the inconsistencies and the interpretation come from the organisation's own answers, and the readiness conclusion is MK's.

SCOPE AND ANALYTICAL BASIS

This blueprint interprets the group's own answers and designs the response; it does not verify that controls operate

The analysis rests on answers given by the group's respondent and the functions to which questions were referred, read against MK's fraud scenarios and controls. It covers 106 fraud scenarios across ten areas, with no question outstanding. MK has not examined documents, interviewed staff or tested any control, and where the report names a record, it is a record management should keep so that each control can be shown to work.

The blueprint's value lies in what it does with the answers: it reads them together, draws them into themes, traces how the weaknesses could combine into fraud, and designs the controls, operating model, decisions and programme that would close them. Independent examination of whether controls operate belongs to MK Advisory, which is scoped and priced separately.

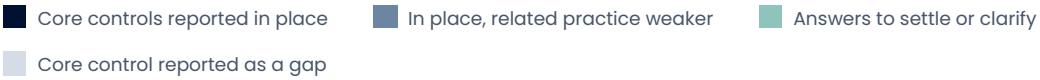
READINESS PROFILE

The profile divides cleanly between a complete centre and open operations

In four areas every core control is reported in place: fraud governance and accountability, fraud risk assessment, finance, banking and financial reporting and detection, speak-up and response. In five areas nearly every core control is reported as a gap: third parties and supply chain, people, payroll and insider risk, customers, revenue and products, assets, cash and inventory and digital, cyber-enabled and identity fraud. Ethics sits between the two, with most of its controls in place.

READINESS PROFILE: FRAUD SCENARIOS BY AREA

AREA	SCENARIOS THAT APPLY	CORE CONTROLS IN PLACE	TEST FIGURE
Fraud governance and accountability		12 of 12	90.0
Fraud risk assessment		6 of 6	91.7
Ethics, integrity and anti-corruption		9 of 10	81.0
Third parties and supply chain		1 of 13	24.3
People, payroll and insider risk		0 of 11	26.4
Finance, banking and financial reporting		12 of 12	92.5
Customers, revenue and products		0 of 10	25.0
Assets, cash and inventory		0 of 10	19.0
Digital, cyber-enabled and identity fraud		0 of 14	18.6
Detection, speak-up and response		8 of 8	86.7



Each bar shows the fraud scenarios in the method that apply to the organisation in that area, by what its answers report about the controls that stop them. Areas appear in the method's order. Test figures are the calculated result for each area, shown for traceability; they are not scores and carry no band.

The open areas hold most of the scenarios in the method, with 14 gaps in digital channels, 12 in third parties and 11 in people and payroll. The division is too clean to be accidental: it is the shape of a programme that has reached the functions which own it and not yet the functions which run the operations.

SYSTEMIC THEMES

Three themes explain the position, and each one makes the others harder to see

The themes below draw the individual answers into a management view. The map shows where each appears; the discussion that follows explains how they interact.

WHERE EACH THEME APPEARS

AREA	The fraud framework is in place at the centre but has not reached the operating processes	Instructions that move money or change identity are accepted on the requester's word	Independent assurance examines high-risk processes
Fraud governance and accountability			
Fraud risk assessment			
Ethics, integrity and anti-corruption			
Third parties and supply chain	●	●	●
People, payroll and insider risk	●	●	●
Finance, banking and financial reporting			
Customers, revenue and products	●	●	
Assets, cash and inventory	●		
Digital, cyber-enabled and identity fraud	●	●	
Detection, speak-up and response			

A mark shows an area in which the answers contribute to the theme.

ACROSS THE ORGANISATION

The framework at the centre has not been carried into the operating processes

The four central areas are reported as complete and the five operating areas as almost entirely open. A framework of this kind establishes who owns fraud risk, what the exposure is and how concerns will be handled. It does not stop a supplier being paid into the wrong account, a refund being redirected or stock leaving a store; those outcomes depend on controls inside the processes.

The most likely explanation is that ownership of fraud controls has stayed with the risk and finance functions that built the framework, while the executives who run procurement, payroll, customers, stock and digital channels have not taken on the controls in their processes. The response is therefore organisational before it is technical: the operating executives must own the controls, with the risk function setting the standard and checking that it is met.

ACROSS THE ORGANISATION

The same verification weakness recurs across suppliers, payroll, customers and digital channels

Across third parties and supply chain, people, payroll and insider risk, customers, revenue and products and digital, cyber-enabled and identity fraud, 14 practices that would verify a request through a route the requester does not control are reported weaker than in place. Supplier bank changes are confirmed through contact details in the request, a familiar voice is accepted, employee and customer bank and delivery changes are not consistently verified with the person concerned, credit documents are checked only on appearance, and requests by phone, voice note or video depend on individual judgement.

Most payment diversion, impersonation and application fraud succeeds by supplying the confirmation a process asks for, rather than by defeating a control. The defence in every case is the same: verification through details the organisation already holds, by a channel the requester did not choose, applied to everyone including executives. Because the weakness is shared, so is the remedy, and designing it once is both cheaper and more reliable than solving it separately in each process.

THIRD PARTIES AND SUPPLY CHAIN · PEOPLE, PAYROLL AND INSIDER RISK

No independent review examines procurement or payroll

Independent review of procurement and of payroll are both reported weaker than in place, across third parties and supply chain and people, payroll and insider risk. In the same processes the senior review of supplier payments is agreed but does not run, and the payroll review looks only at totals.

Independent review is the control that looks across transactions and asks whether the controls inside the process actually operate. Without it, fictitious suppliers, split orders, duplicate invoices and ghost employees can pass every individual check, and the new controls the group puts in place will have no one confirming that they work.

The themes reinforce one another. The verification weakness provides the opportunity, the absence of independent review delays discovery, and the structural gap means the function that understands the exposure does not run the processes where it sits. The programme in this report addresses all three together: ownership first, a shared verification standard, and independent review of the processes that move the most money.

FINDINGS

Seven findings show how the themes appear in the processes that move money, goods and credit

The findings are the scenarios through which each theme appears most clearly: within each theme, the scenario with more core controls reported absent, or with the most related practices also reported weaker. They follow the method's order of areas, which is not a ranking; The full register is in the supporting workbook.

THIRD PARTIES AND SUPPLY CHAIN

Supplier bank changes are confirmed through details the fraudster can supply

Changes to supplier bank details are confirmed, but sometimes using contact details taken from the request itself, and a follow-up call from someone who sounds like the supplier's usual contact is accepted as confirmation.

Both answers describe a confirmation the fraudster controls. In the wider control system, the change feeds the supplier master file, from which every later payment is made, so a single accepted change diverts every payment until the supplier complains. The senior review of supplier payments, which would look for changed bank details, does not yet run, so nothing downstream catches it.

The target design separates the confirmation from the request entirely: details on file, a call-back that holds whatever the caller appears to be, and a second person who did not capture the change. It is the first blueprint in the target environment.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Change confirmed with supplier: partly in place; Familiar caller still verified: not in place	Finance lead	60 days (proposed)

THIRD PARTIES AND SUPPLY CHAIN

The senior review of supplier payments has been agreed but does not run

The monthly senior review of supplier payments is set out but not working, monitoring of split orders is set out but not operating, reviewing payment data for unusual patterns is not in place, and independent review of procurement is only partly in place.

These answers describe one missing capability, looking at payments as a population, which the group has evidently decided it needs. It is the detective control behind several preventive ones: it would catch a changed bank detail that slipped through, a duplicate invoice, a split purchase or a new supplier paid unusually often.

Because the design already exists, the target is operational: a named senior manager outside payments processing, a monthly cycle, and a first review over the last twelve months.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Senior review of supplier payments: set out, not yet operating	Finance lead	60 days (proposed)

CUSTOMERS, REVENUE AND PRODUCTS

Credit is granted on documents checked only when something looks wrong

Supporting documents for credit applications are verified only if something looks wrong. Independent approval of credit, bureau and fraud database checks and the investigation of early defaults are each reported only partly in place.

A check triggered by appearance is the check that generated payslips and bank statements are designed to pass. In the control system around it, the absence of early-default investigation means losses from fraudulent applications are likely to be booked as bad debt, so the scheme can repeat with the same templates.

The target verifies the key information in every application with its source before approval, and treats a first-instalment default as a prompt to look for application fraud.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Application documents verified: partly in place	Finance lead	60 days (proposed)

CUSTOMERS, REVENUE AND PRODUCTS

Customer refund and delivery details can be changed by sales staff

Most changes to customer details are verified with the customer, but sales staff can still make them. Defined onboarding is not in place, business customers are only partly verified, and details shared between accounts are not flagged.

Customer details are where refunds and deliveries are directed, so the ability to change them is the ability to redirect money and goods. Allowing the people who serve customers to make the change removes the separation that would require a second person to be involved, and without flags on shared details, several accounts paying into one bank account would not stand out.

The target moves the change out of sales and verifies it with the customer through details already on file.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Customer detail changes verified: partly in place	Commercial and customer lead	60 days (proposed)

PEOPLE, PAYROLL AND INSIDER RISK

Payroll is reviewed only at the level of totals

Each payroll run is looked at by someone other than the preparer, but only at the totals. Headcount verification is not in place, payroll data analysis is set out but not operating, and independent review of payroll is only partly in place.

A ghost employee, or a leaver left on the payroll, does not move the totals enough to be noticed, and without headcount verification or data analysis there is no other point at which the payroll is compared with the people actually employed. Because changes to employees' bank details are also not consistently verified with the employee, the same payroll can be diverted as well as inflated.

The target is a detailed review of each run before payment by someone who did not prepare it, covering starters, leavers and changes, with variances explained. It is among the first responses and is specified in full in the workbook.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Payroll reviewed by another person: partly in place	HR and payroll lead	60 days (proposed)

ASSETS, CASH AND INVENTORY

Stock is counted by the people who hold it

The stores team counts the stock and someone else glances at the results. How stock is recorded, full counts, explaining differences before adjusting, approving write-offs and tracking shrinkage are all reported weaker than in place.

These practices form one chain: a reliable record of what should be there, a count by someone independent of custody, an explanation for every difference before the record is changed, and a view of losses by location. Each link is reported weak, so a loss can be counted away, written off and never examined.

The target is independent blind counts with every difference explained before adjustment and shrinkage tracked by store, so that a location where losses concentrate becomes visible.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Independent blind counts: partly in place	Finance lead	In the twelve-month programme

DIGITAL, CYBER-ENABLED AND IDENTITY FRAUD

Instructions by phone, voice note or video depend on individual judgement

Whether an unusual instruction received by phone, voice note or video is checked depends on the judgement of the person who receives it. The supporting practices are partial too: changes to call-back details are verified only in part, and executives and their teams are only partly prepared for impersonation.

Recognition no longer confirms identity, because voices and faces can be cloned from public recordings. A check left to judgement is skipped under pressure, and an impersonated executive applies exactly that pressure. The weakness connects directly with supplier bank changes, where a familiar voice is already accepted.

The target is an agreed verification method that applies to everyone, including executives, and that staff are expected to use whatever the caller appears to be.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Verification for calls, voice notes and video: partly in place	Chief financial officer	In the twelve-month programme

FRAUD EXPOSURE AND PATHWAYS

The open controls create four practised routes to loss, each hard to see from inside the process

In each pathway below, one weakness provides the opportunity and another delays its discovery. They are plausible sequences built from the answers and MK's scenario library, and they do not suggest that any of these events has occurred.

FRAUD PATHWAY · ASSETS, CASH AND INVENTORY

Stock leaves a store, and the count is made to agree

An employee with custody of stock, sometimes with a driver, a supplier or a colleague, removes stock over time. Because the stores team counts its own stock, the counter records the expected quantities or attributes the shortfall to damage or error.

Differences are not explained before adjustment and shrinkage is not tracked by location, so nothing marks the store out. The loss is absorbed into margin, and the write-offs that conceal it look like the ordinary cost of retail.

WARNING SIGNS

- Shrinkage concentrated at one site or on particular lines
- Write-offs and adjustments by the person responsible for the stock
- Counts that always agree exactly
- Reluctance to allow others to count

FIRST RESPONSE

Carry out an immediate blind count by people independent of the site, secure the stock area, and preserve the count sheets, adjustments and access records.

LASTING CONTROL

Stock is counted blind by people independent of its custody, differences are investigated before any adjustment, and losses are tracked by location.

FRAUD PATHWAY · THIRD PARTIES AND SUPPLY CHAIN

A supplier's bank details are changed and the next payment run pays the fraudster

An outsider who has compromised a supplier's email requests a change of bank details, on the supplier's letterhead and with a contact number. When finance calls that number, the fraudster confirms the change; sometimes a follow-up call in the usual contact's voice is enough.

The next genuine invoice is approved and paid to the new account in the normal run. Every document is genuine, and with no monthly review of supplier payments looking for changed bank details, nothing looks wrong until the real supplier asks why it has not been paid.

WARNING SIGNS

- A bank-detail change shortly before a large or scheduled payment
- A change request that arrives by email or from a new contact
- Pressure to make the change before the next payment run
- A supplier querying non-payment after a recent change

FIRST RESPONSE

Contact the bank immediately to recall or freeze the payment, confirm the correct details with the supplier through a number already on file, suspend further payments to the changed account and preserve the request and approval trail.

LASTING CONTROL

Every change to supplier bank details is confirmed with the supplier through contact details on file before it takes effect, by someone other than the person who captured it, whatever the caller appears to be.

FRAUD PATHWAY · THIRD PARTIES AND SUPPLY CHAIN

A purchase is split below the approval limit, and nobody looks across the orders

A buyer splits a purchase into orders that each fall below the approval limit, or a supplier resubmits an invoice already paid. Each transaction passes its own checks.

The pattern exists only in the payment data, and because the senior review has not started and split orders are not monitored, nobody examines it. Purchases are made without competition and duplicate payments go unrecovered until a supplier, an auditor or a whistle-blower raises it.

WARNING SIGNS

- Several orders to one supplier just below an approval limit
- Invoices with the same amount and supplier close together
- A supplier paid more often than its contract suggests
- Orders raised and received by the same person

FIRST RESPONSE

Stop further payments on the suspect orders or invoices, recover any duplicate payment from the supplier, and preserve the order, approval and payment records.

LASTING CONTROL

A senior manager who does not process payments reviews each month's supplier payments for splitting, duplicates, unfamiliar suppliers and changed bank details, and follows up each query.

FRAUD PATHWAY · CUSTOMERS, REVENUE AND PRODUCTS

Fabricated payslips secure credit that is never repaid

An applicant, sometimes working with others, applies for credit with a payslip and bank statement generated to show income they do not have. The documents look genuine, so the check that is triggered only by appearance is never triggered.

Credit is approved, goods are taken and the account defaults. Because early defaults are not consistently investigated, the loss is booked as bad debt, and the same templates can be used again before anyone recognises the pattern.

WARNING SIGNS

- Accounts that default on the first or second instalment
- Applications with the same employer, payslip layout or contact details
- Income that is high for the goods applied for
- Pressure to approve quickly

FIRST RESPONSE

Suspend further credit on linked applications, review the other applications from the same source or template, and preserve the application files.

LASTING CONTROL

The key information in every credit application is verified with its source before credit is approved, and first-instalment defaults are reviewed for application fraud.

TARGET FRAUD-CONTROL ENVIRONMENT

The target environment verifies every change through a route the requester does not control, and looks across payments as well as at them

The blueprints below cover the priority controls. They share a principle: a change that redirects money, goods or credit is confirmed through details the group already holds, and the payments that result are reviewed as a whole by someone outside the process. Each explains the current position, how the control should operate and how management will know it works; the panel summarises its operating design. The complete specification for every control in the register, 106 in all, is in the supporting workbook.

CONTROL BLUEPRINT · TO PUT IN PLACE

Supplier bank changes confirmed through details already on file

Changes are confirmed today, but sometimes using contact details in the request. In the target state, every change is confirmed with the supplier through contact details already on file before it takes effect, by someone other than the person who captured it, and each change is logged with how and by whom it was confirmed.

The control works with the call-back rule below and with the monthly payment review, which looks for changed bank details as one of its patterns. Its measure is simple to read: every change in the period confirmed before it took effect, or a recorded and approved exception.

FRAUD SCENARIO IT ADDRESSES
Supplier payments are diverted through changed bank details

ACCOUNTABLE EXECUTIVE
Chief financial officer

PROCESS OWNER
Finance lead

POPULATION
Changes to suppliers' bank details

FREQUENCY
whenever a change is requested

SERVICE LEVEL (PROPOSED)
Completed each time, before the result is relied on; exceptions answered within the month.

INDEPENDENT CHECK
A periodic review by the fraud risk lead, who samples the records and reports exceptions.

RECORD KEPT
Bank detail change log: each request, how and by whom it was confirmed, the number used and the date the change took effect.

EFFECTIVENESS MEASURE
Every change to a supplier's bank details made in the period was confirmed with the supplier on contact details already on file before it took effect, or is a recorded and approved exception.

ESCALATION
Any case handled without the check, or any exception approved, is reported to the chief financial officer within the month.

FAILURE RESPONSE
Suspend any change to a supplier's bank details that was not confirmed until it is verified, and check whether any payment, delivery or access used it.

CONNECTED CONTROLS
Familiar caller still verified

CONTROL BLUEPRINT · TO PUT IN PLACE

A call-back rule that holds whatever the caller appears to be

A follow-up call from the supplier is accepted as confirmation today. In the target state, a call back on the number on file is required for every change request, whatever an incoming call or video appears to show, and staff are briefed on why and tested on it.

The rule is the operating form of the verification theme. Once designed for supplier changes, the same rule can be applied to employee bank changes, customer details and instructions from executives, which is why it is best owned once and applied across areas.

FRAUD SCENARIO IT ADDRESSES
Supplier payments are diverted through changed bank details

ACCOUNTABLE EXECUTIVE
Chief financial officer

PROCESS OWNER
Finance lead

POPULATION
Staff who process changes to supplier details

FREQUENCY
each year

SERVICE LEVEL (PROPOSED)
Completed each year; exceptions answered before the next review.

INDEPENDENT CHECK
A periodic review by the fraud risk lead, who samples the records and reports exceptions.

RECORD KEPT
Verification rule record: the rule, briefing records and the results of each test.

EFFECTIVENESS MEASURE
All staff who process changes to supplier details were briefed by the end of the period, and the most recent test found the rule followed in every case tested, including a call or video that appeared to come from the supplier's usual contact.

ESCALATION
Any exception not closed by the next review, or any review missed, is reported to the chief financial officer.

FAILURE RESPONSE
Where the rule was not followed, establish why, brief the people concerned again and check whether any payment or disclosure resulted.

CONNECTED CONTROLS
Change confirmed with supplier

CONTROL BLUEPRINT · TO PUT IN PLACE

A monthly senior review of supplier payments that actually runs

The review is agreed but not working. In the target state, a senior manager who does not process payments reviews each month's supplier payments for unfamiliar suppliers, unusual amounts, duplicates and changed bank details, and follows up each query to a recorded answer.

The review is the detective layer behind the preventive controls on bank changes, and it connects with monitoring of split orders and independent review of procurement. Its first run should cover the previous twelve months.

FRAUD SCENARIO IT ADDRESSES
Procurement anomalies are never noticed

ACCOUNTABLE EXECUTIVE
Chief financial officer

PROCESS OWNER
Finance lead

POPULATION
Supplier payments

FREQUENCY
monthly

SERVICE LEVEL (PROPOSED)
Completed monthly; exceptions answered before the next review.

INDEPENDENT CHECK
Built into the control: the check is carried out by someone independent of the person whose work it covers.

RECORD KEPT
Monthly payment review: the list reviewed, the reviewer, each query raised and its answer.

EFFECTIVENESS MEASURE
The review of supplier payments ran monthly throughout the period, and every exception it raised has a recorded answer.

ESCALATION
Any exception not closed by the next review, or any review missed, is reported to the chief financial officer.

FAILURE RESPONSE
Where an exception proves to be fraud or error, follow the response procedure, correct the control that allowed it and add the pattern to the review.

CONNECTED CONTROLS
Split orders monitored; Data reviewed for unusual patterns; Independent review of procurement

CONTROL BLUEPRINT · TO PUT IN PLACE

Credit applications verified with their source before approval

Documents are checked today only when something looks wrong. In the target state, the key information in every credit application is verified with its source, such as the employer, the bank or a verification service, before credit is approved, and the application file records what was verified and how.

The control connects with independent approval of credit, bureau and fraud database checks and the investigation of early defaults, which together turn application fraud from an unrecognised bad debt into a visible pattern.

FRAUD SCENARIO IT ADDRESSES
Credit is obtained with fabricated documents

ACCOUNTABLE EXECUTIVE
Chief financial officer

PROCESS OWNER
Finance lead

POPULATION
Credit applications

FREQUENCY
before each approval

SERVICE LEVEL (PROPOSED)
Completed before each approval; nothing proceeds while the check is open.

INDEPENDENT CHECK
A periodic review by the fraud risk lead, who samples the records and reports exceptions.

RECORD KEPT
Credit application file: the information verified, the source used, the result and the date.

EFFECTIVENESS MEASURE
Every credit application in the period has a credit application file showing the key information verified with its source before approval.

ESCALATION
Any item that proceeds without the check, or any exception approved, is reported to the chief financial officer within the month.

FAILURE RESPONSE
Where a credit application went ahead without the check, complete the check at once and review anything paid or released before it was found.

CONNECTED CONTROLS
Credit approved independently; Bureau and fraud database checks; Early defaults investigated; Limit and terms changes approved

CONTROL BLUEPRINT · TO PUT IN PLACE

Customer detail changes verified and made outside sales

Most changes are verified today, but sales staff can still make them. In the target state, every change to a customer's refund account, delivery address or contact numbers is verified with the customer through details on file and made by someone outside sales.

Separating the change from the sale restores the second person whose involvement deters collusion, and flagging details shared between accounts would show where several customers are paid into one account.

FRAUD SCENARIO IT ADDRESSES
Customer details are changed to divert money or goods

ACCOUNTABLE EXECUTIVE
Chief financial officer

PROCESS OWNER
Commercial and customer lead

POPULATION
Changes to customer details

FREQUENCY
whenever a change is requested

SERVICE LEVEL (PROPOSED)
Completed each time, before the result is relied on; exceptions answered within the month.

INDEPENDENT CHECK
A periodic review by the fraud risk lead, who samples the records and reports exceptions.

RECORD KEPT
Customer change log: each change, how it was verified, who made it and when.

EFFECTIVENESS MEASURE
Every change to customer details in the period was verified with the customer through details already on file before it took effect, and was made by someone outside sales.

ESCALATION
Any case handled without the check, or any exception approved, is reported to the chief financial officer within the month.

FAILURE RESPONSE
Suspend any change to customer details that was not confirmed until it is verified, and check whether any payment, delivery or access used it.

CONNECTED CONTROLS
Defined onboarding; Business customers verified; Shared details flagged

TARGET FRAUD-RISK OPERATING MODEL

Ownership must move from the centre into the operating areas, with the centre setting the standard and checking it

The group reports that executive accountability for fraud risk is written into a named role and that the board holds final oversight. The target operating model keeps both and adds what the themes show is missing: owners for the controls inside the operations. The chief executive remains accountable overall; the fraud risk lead sets the standards, challenges the owners and consolidates reporting; the owners of finance, customers, payroll and the other operating areas run the controls in their processes and keep the records; and the investigations lead handles reports and alerts independently.

TARGET FRAUD-RISK OPERATING MODEL

OVERSIGHT **The board**	Receives fraud risk reporting, approves the order of work and holds the executive to account. The organisation's own answer on final oversight. STATUS AND ESCALATIONS REPORTED UPWARD · DIRECTION AND DECISIONS DOWNWARD
EXECUTIVE ACCOUNTABILITY **Chief executive**	Accountable for fraud risk overall; names the accountable executives and decides the order of work. Executive accountability is reported as "Yes, it is written into a named executive's role".
COORDINATION AND CHALLENGE **Fraud risk lead**	Coordinates the fraud risk assessment, challenges the control owners and consolidates status reporting. The method's owner for fraud risk assessment.
CONTROL OWNERSHIP **Finance lead, Commercial and customer lead and HR and payroll lead**	Operate the controls in their processes, keep the records and report exceptions. The method's owners for the controls this report acts on.
DETECTION AND INVESTIGATION **Investigations lead**	Receives reports and alerts, investigates independently and records outcomes. The method's owner for detection, speak-up and response.

Roles are named by function, not by person; the assessment does not identify individuals. The chief executive's coordinating role and the fraud risk lead's challenge role are the method's owners for governance and risk assessment.

Status moves upward each month from the area owners through the fraud risk lead to the chief executive, and to the board at each meeting. The independent check sits outside this line: someone who does not run procurement or payroll examines those processes and reports to the chief executive and the board.

LEADERSHIP DECISIONS

Three decisions rest with leadership, and ownership comes first because everything else depends on it

The decisions below are those only executives can take. For each, the options and trade-offs are set out with MK's recommended route; the choice remains management's.

LEADERSHIP DECISION

Who will be accountable for each open area

Six areas have open scenarios, and none of them is among the areas the centre already runs. MK recommends that each operating executive owns the scenarios in their area, with the fraud risk lead coordinating requirements that span areas, because the controls must sit in the processes while the verification standard should be designed once.

OPTION	WHAT IT INVOLVES	EFFORT	BENEFIT	TRADE-OFF
One accountable executive per area	Each area with open scenarios has one executive accountable for its controls, as the method suggests.	Low to decide; ongoing for each executive.	Clear ownership that matches how the organisation is run.	Requirements that span areas, such as how changes to payment details are verified, need coordination across owners.
One executive for the whole programme	A single executive owns every open scenario and directs area leads.	Concentrated on one person.	One point of accountability and a consistent approach.	Area executives may treat the work as someone else's.
Area owners with a programme coordinator	Area executives own their scenarios, and the fraud risk lead coordinates requirements that span areas and reports progress.	Moderate.	Ownership stays in the areas while cross-area requirements are handled once.	Needs a coordinator with enough standing to hold owners to account.

MK'S RECOMMENDED ROUTE

Area owners with a programme coordinator. The open scenarios sit in the operating areas, so ownership belongs there; several of the requirements span areas and are best designed once.

Decision owner: Chief executive. When: Before design work starts. If delayed: Open scenarios have no owner, and the controls that stop them stay unassigned.

LEADERSHIP DECISION

The order in which the open scenarios will be addressed

With 58 scenarios open, the order matters, and it should rest on facts management can state and defend. MK recommends weighing each scenario on explicit factors management can defend, and applying the shared verification requirement once wherever it arises, which closes several scenarios with one design.

OPTION	WHAT IT INVOLVES	EFFORT	BENEFIT	TRADE-OFF
Explicit factors, settled facts first	Answers to settle come first; then each open scenario is weighed on how far its control is reported in place, whether money, pay, cash or stock can leave without it, how much of the activity exists, and what management already knows of incidents.	Moderate: a structured management session.	A defensible order that management can explain to the oversight body.	Depends on information management must supply, such as volumes and known incidents.
Area by area	One area is completed before the next begins.	Low to plan.	Simple to manage and report.	Requirements that span areas are designed several times, and exposure in later areas waits.
Cross-area requirements first	Requirements that span areas, such as verifying changes to payment details, are designed once and applied everywhere, before area-specific controls.	Moderate.	One design closes several scenarios at once.	Area-specific exposures wait until the shared designs are complete.

MK'S RECOMMENDED ROUTE

Explicit factors, settled facts first, applying cross-area requirements once where they arise. An order of work should rest on facts management can state and defend to its oversight body, and designing shared requirements once avoids building the same control several times.

Decision owner: Chief executive. When: Before design work starts. If delayed: Effort is spread across every scenario at once, or follows the order of this report, which is not a ranking.

LEADERSHIP DECISION

How the board will see progress

MK recommends a one-page status for each open area at every board meeting until its scenarios are closed, deferred with a reason or accepted, so that the move from framework to operations remains visible to the people who can remove blockers.

OPTION	WHAT IT INVOLVES	EFFORT	BENEFIT	TRADE-OFF
At each meeting of the oversight body	A one-page status per open scenario at each meeting until it is closed, deferred with a reason or accepted.	Low.	Keeps the scenarios visible to the people who can remove blockers.	Adds to the oversight body's agenda.
Quarterly summary	A consolidated summary each quarter.	Low.	Less frequent demand on the oversight body.	Blockers may wait a quarter before they are seen.
Exceptions only	Only scenarios that are late or blocked are reported.	Lowest.	Focuses attention on problems.	The oversight body does not see progress, and a scenario can drift without being reported as an exception.

MK'S RECOMMENDED ROUTE

At each meeting of the oversight body, until each open scenario is closed, deferred with a reason or accepted. Regular reporting is what keeps a programme moving once the first controls are in place.

Decision owner: Chief executive. When: From the first meeting after this report. If delayed: Progress is not visible until the next assessment.

TWELVE-MONTH IMPLEMENTATION BLUEPRINT

Over twelve months the programme carries the framework into the operations and proves that the new controls work

The programme runs in four proposed stages. The windows are proposals for management's own plan, not deadlines, contractual dates or estimates of how long any control takes to design or to prove. A control counts as working only once it has met its success measure over a full operating cycle.

THE TWELVE-MONTH PROGRAMME, IN PROPOSED STAGES

Stabilise

0 TO 30 DAYS, PROPOSED

Name the owners, decide the order of work and approve the designs.

- Accountable executives named
- Order of work recorded with its factors

OWNERS

Chief executive

Establish

31 TO 90 DAYS, PROPOSED

Approve the priority control designs, put them in place and run their first operating cycles.

- Change confirmed with supplier
- Familiar caller still verified
- Senior review of supplier payments
- Application documents verified
- Customer detail changes verified

OWNERS

Finance lead, Commercial and customer lead

Embed

MONTHS 4 TO 6, PROPOSED

Extend to the remaining selected scenarios and strengthen the further defences, with regular reporting.

- Remaining selected controls put in place
- Related practices strengthened
- Monthly status reporting running

OWNERS

Every area owner, coordinated by the fraud risk lead and reporting to the chief executive

Mature

MONTHS 7 TO 12, PROPOSED

Measure each control over a full cycle, refresh the scenarios and report to the oversight body.

- Each control measured over a full cycle
- Scenarios refreshed against the assessment
- Status reported to the board at each meeting

OWNERS

Every area owner, coordinated by the fraud risk lead and reporting to the chief executive

Windows are proposals for management's own plan. They are not deadlines, contractual dates or estimates of how long any control takes to design, put in place or show to be working. Every action, with its deliverable and completion test, is in the supporting workbook.

Stabilise names the owners, records the order of work with its factors and approves the designs, beginning with the shared verification standard. Establish puts the priority controls in place and runs their first cycles; the monthly payment review should look back over the previous twelve months in its first run.

Embed extends the work to the remaining open scenarios in the order management has decided, including payroll and stock, and strengthens the related practices behind them. Mature measures each control over a full cycle, arranges the independent examination of procurement and payroll, refreshes the scenarios and reports to the board at each meeting. Every action, with its deliverable and completion test, is in the supporting workbook.

MANAGEMENT FRAUD-READINESS SCORECARD

The scorecard shows whether the new controls work, and whether the programme is reaching the operations

Each control measure describes what its records should show over a period once it operates; the programme measures track whether ownership and reporting are moving. None is reported as met today, and each escalation threshold turns a missed measure into a decision.

MANAGEMENT FRAUD-READINESS SCORECARD

MEASURE	OWNER	FREQUENCY	ESCALATION THRESHOLD
Every change to a supplier's bank details made in the period was confirmed with the supplier on contact details already on file before it took effect, or is a recorded and approved exception.	Finance lead	whenever a change is requested	Any case handled without the check, or any exception approved, is reported to the chief financial officer within the month.
All staff who process changes to supplier details were briefed by the end of the period, and the most recent test found the rule followed in every case tested, including a call or video that appeared to come from the supplier's usual contact.	Finance lead	each year	Any exception not closed by the next review, or any review missed, is reported to the chief financial officer.
The review of supplier payments ran monthly throughout the period, and every exception it raised has a recorded answer.	Finance lead	monthly	Any exception not closed by the next review, or any review missed, is reported to the chief financial officer.
Every credit application in the period has a credit application file showing the key information verified with its source before approval.	Finance lead	before each approval	Any item that proceeds without the check, or any exception approved, is reported to the chief financial officer within the month.

MEASURE	OWNER	FREQUENCY	ESCALATION THRESHOLD
Every change to customer details in the period was verified with the customer through details already on file before it took effect, and was made by someone outside sales.	Commercial and customer lead	whenever a change is requested	Any case handled without the check, or any exception approved, is reported to the chief financial officer within the month.
Open scenarios with a named owner and a recorded decision to address, defer or accept them	Chief executive	each month	A scenario without an owner after 60 days is reported to the oversight body.
Priority controls that have met their success measure for a full operating cycle	Fraud risk lead	each quarter	A control that misses its measure twice is reported with its owner's correction plan.
Status reported to the board	Chief executive	each meeting	A missed report is itself reported at the next meeting.

Control measures describe what each control's records should show for a period once it operates; programme measures track the response itself. None is reported as met today.

For this group, the measure to watch first is the share of open scenarios with a named owner and a recorded decision, because it shows whether the programme has reached the operating areas at all. The second is whether the priority controls have met their measures over a full cycle.

METHODOLOGY AND LIMITATIONS

The position rests on the organisation's own answers, read together against MK's method

Answers are read against MK's method of fraud scenarios and controls, and together as well as one at a time. Answers given as "not known" or declined would be reported as outstanding and never as weaknesses; none remained here.

The executive diagnosis states the position in four parts: the calculated result, the answers that are inconsistent, the reading of the answers and MK's conclusion. Material findings, blueprints and stages are chosen and sequenced by the rules stated where each appears, not by a ranking of fraud risk.

PROTOTYPE NOTICE: WHAT A RELEASED REPORT ADDS

ELEMENT	IN A RELEASED REPORT	IN THIS EDITION
Readiness conclusion	Issued under MK's approved readiness method, with the score and level that method defines.	Calculated result shown as a labelled test fixture; no level or band issued (decision D-1).
Order of work	Set by MK's approved decision method.	Ordered by the explicit factors stated in the report, a candidate method (decision D-3).
Control specifications, pathways and decision options	MK-approved advisory content.	Draft content from MK's control-content library, scenario structures and decision options (decision D-5).
Manuscript	Written by the production AI writer from this fact pack, then validated.	Written in-session under the same writer contract and validated by the same checks; the production AI run is a blocked acceptance test.

MANAGEMENT CONCLUSION

The group has built the hardest part of a fraud programme, and the next year should carry it into the operations

The group should recognise that it has done what many organisations of its size have not: fraud risk is owned, assessed and governed, and there is a capability to respond. What it has not yet done is put controls into the operations where fraud would occur, and the open register is the measure of that gap.

The transition required is organisational before it is technical. Operating executives must own the controls in their processes; a single verification standard should protect every change that redirects money, goods or credit; and someone independent must look across procurement and payroll. Those foundations make the remaining work tractable.

By ninety days, every open area should have an owner, the order of work should be set down, and the priority controls should be running their first cycles. By twelve months, they should have met their measures over a full cycle, the remaining scenarios should be in progress in the order management decided, and the board should be receiving status on every area.

MK Advisory would add value once the first controls are running, to examine whether they operate as designed and to support the independent review of procurement and payroll, which call for the records and walkthroughs that this assessment does not include.

Fraud strategy, readiness and operational resilience.

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This report was prepared for the management of Fictional Retail Group (mixed controls) on the basis of the organisation's own answers to the MK Fraud Readiness assessment. It is confidential to the organisation. MK Fraud Insights is a trading name of Stonda (Pty) Ltd. Fictional prototype for MK review; not a customer report.